

UNCOVERING COVERED CALLS

As the bear market clawed its way through 2003, it dug up an old fad: writing covered call options. (A recent Google search on “covered call writing” turned up more than 2,600 hits.) What are covered calls, and how do they work? Imagine that you buy 100 shares of Ixnay Corp. at \$95 apiece. You then sell (or “write”) a call option on your shares. In exchange, you get a cash payment known as a “call premium.” (Let’s say it’s \$10 per share.) The buyer of the option, meanwhile, has the contractual right to buy your Ixnay shares at a mutually agreed-upon price—say, \$100. You get to keep the stock so long as it stays below \$100, and you earn a fat \$1,000 in premium income, which will cushion the fall if Ixnay’s stock crashes.

Less risk, more income. What’s not to like?

Well, now imagine that Ixnay’s stock price jumps overnight to \$110. Then your option buyer will exercise his rights, yanking your shares away for \$100 apiece. You’ve still got your \$1,000 in income, but he’s got your Ixnay—and the more it goes up, the harder you will kick yourself.^{[1](#)}

Since the potential gain on a stock is unlimited, while no loss can exceed 100%, the only person you will enrich with this strategy is your broker. You’ve put a floor under your losses, but you’ve also slapped a ceiling over your gains. For individual investors, covering your downside is never worth surrendering most of your upside.